Freddo Finance

Your First Year Investing in Europe

A practical checklist for Europeans and internationals living in Europe.

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Foundations, broker, first ETF basics

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Know your country's tax rules

Months 10–12
Stay calm, then review the year

How to use this: tick the boxes as you go. Most take an evening, not a weekend. It's fine to go slower; it's not a race.

Not financial advice. Rules differ by country; check yours or ask a tax adviser.
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MONTHS 1–3 · STEP 1

Month 1: foundations first

The least exciting page in this guide, and the one that matters most. Investing works best on top of a stable base, not instead of one.

Emergency fund

- [ ] **Work out your essential monthly costs.** Rent, food, transport, insurance, bills. Not the nice-to-haves.
- [ ] **Build a cash buffer before you invest.** A common rule of thumb is three to six months of essentials. More if your income is irregular or you'd need a flight home in a hurry.
- [ ] **Keep it somewhere boring and accessible.** An instant-access savings account. Check that it's covered by a deposit guarantee scheme (in the EU, deposits are protected up to €100,000 per person, per bank).

High-interest debt

- [ ] **List every debt with its interest rate.** Credit cards, overdrafts, buy-now-pay-later, car loans.
- [ ] **Clear the expensive ones first.** Paying off a card that charges you double digits is a guaranteed return. No market reliably beats that.

Budget and savings rate

- [ ] **Find your savings rate:** what you save each month divided by your take-home pay. One number, tracked monthly, beats a perfect spreadsheet you abandon in March.
- [ ] **Pick an amount you can keep up in a bad month.** Consistency beats size. You can raise it later.

Residency and tax residency basics

- [ ] **Know where you're tax resident.** It's usually where you live and work, but each country has its own tests (many use a 183-day rule, plus things like where your home or "centre of life" is).
- [ ] **Register your address and get a tax ID** in your country of residence. Brokers will ask for it.
- [ ] **Moved recently? Tell your old country.** Being tax resident in two places at once is possible, and it's tedious to untangle later.

> 🌡️ **Panic level: low**
>
> You don't need to know everything before you start. You need a buffer, no expensive debt, and to know which country taxes you. That's it for month 1.

MONTHS 1–3 · STEP 2

Choosing a broker

The broker is plumbing. You want it safe, cheap and boring. We don't recommend specific brokers; here's how to judge any of them.

Regulation and protection

- [ ] **Check who regulates it.** Look the firm up on the register of the national regulator where it's licensed. A licence in one EU country can be "passported" to others.
- [ ] **Know the investor compensation scheme.** EU schemes cover at least €20,000 per investor if a firm fails and can't return your assets. Check the actual limit in the broker's country.
- [ ] **Understand segregation.** Your shares and funds should be held separately from the broker's own money. That's what protects you, more than the compensation scheme.
- [ ] **Cash is different from securities.** Find out where uninvested cash sits and whether a deposit guarantee covers it.

Fees (the quiet ones too)

- [ ] **Order fees and savings plan fees.** Many brokers offer free or low-cost monthly plans. Check which funds qualify.
- [ ] **Custody or account fees.** Annual or monthly, flat or a percentage.
- [ ] **Currency conversion (FX) fees.** Often hidden in the exchange rate. If your salary is in złoty, krona or francs, this one matters.
- [ ] **Inactivity, transfer-out and withdrawal fees.** Leaving should be possible without a toll.

Tax reporting support

- [ ] **Does it withhold tax for your country, or not?** Local brokers often handle tax automatically. Foreign ones usually leave reporting to you.
- [ ] **Does it give you a yearly tax statement** in a format your tax office accepts?
- [ ] **Can you move abroad and keep the account?** Some brokers close accounts when you change residence.

> 💡 **Freddo's verdict**
>
> **Pick a well-regulated broker that reports tax in a way you can handle, then stop shopping.** Saving a few euros a year isn't worth a messy tax return.

MONTHS 1–3 · STEP 3

Understanding UCITS ETFs

Broad, low-cost index funds are the backbone of most sensible portfolios. In Europe, that usually means UCITS ETFs.

UCITS vs US ETFs

UCITS is the EU rulebook for funds sold to the public: diversification limits, asset safekeeping, regular reporting. Under the **PRIIPs** rules, products sold to retail investors in the EU need a **KID** (Key Information Document). Most US-listed ETFs don't publish one, so EU brokers generally won't sell them to you. This is a rule, not your broker being awkward.

The key choices

Choice	What it means	Check
Accumulating vs distributing	Accumulating funds reinvest dividends; distributing funds pay them out to you.	How each type is taxed where you live.
TER	Total Expense Ratio: the yearly running cost, taken from the fund automatically.	Lower is better, all else equal. It's not the only cost.
Domicile	Where the fund is legally based. Ireland and Luxembourg are the most common for UCITS ETFs.	The domicile affects withholding tax at fund level.
Index vs active	Index funds track a market; active funds try to beat it, usually for higher fees.	Most active funds trail their index over long periods, after costs.

Withholding tax, briefly

When companies pay dividends, their home country often keeps a slice before the money reaches the fund. Tax treaties decide how big that slice is. Ireland's treaty with the US, for example, generally lets Irish-domiciled funds suffer less US withholding tax on US dividends than many other domiciles.

Your checklist

- [ ] **Read the KID and the factsheet** of any fund before buying: index, TER, domicile, fund size, replication method.
- [ ] **Decide accumulating or distributing** based on your country's tax rules and whether you want the income.
- [ ] **Prefer broad and global over narrow and trendy.** Fewer funds, less overlap.

> 🧊 **Safe to ignore**
>
> Tiny TER gaps between similar broad funds, last month's top performer, and anyone with a "this one ETF" thumbnail.

MONTHS 4–6

Autopilot and pensions

The best investing system is the one that runs while you're busy doing other things.

Set up a monthly savings plan

- [ ] **Choose a day just after payday.** Money leaves before you can spend it.
- [ ] **Set up a standing order** from your current account to your broker, then a savings plan into your chosen fund(s).
- [ ] **Keep it simple.** One or two broad funds is plenty for year one.
- [ ] **Write down your plan in two lines:** what you buy, how much, and when you'd change it. Future you will thank you during a wobbly week.
- [ ] **Schedule a yearly raise.** When your pay goes up, nudge the plan up too.

> **Lump sum or monthly?**
>
> Investing a lump sum straight away has historically tended to come out ahead more often, because markets rise more often than they fall. Monthly drip-feeding is easier on the nerves. Both are fine. Doing nothing for a year while you decide is the expensive option.

Pensions: the three pillars

Many European countries describe retirement saving in three pillars. Names and rules vary a lot, so treat this as a map, not a manual.

Pillar	What it is
1. State pension	Funded by social contributions from your pay. Your entitlement usually depends on years contributed.
2. Workplace pension	Arranged through your employer. Sometimes mandatory, sometimes opt-in.
3. Private pension	Your own voluntary saving, often with tax incentives that vary by country.

- [ ] **Get your state pension statement** and check your contribution record is complete.
- [ ] **Ask HR about employer matching.** If your employer adds money when you contribute, that's free money. Take it before anything else.
- [ ] **Moved between countries?** Within the EU/EEA, contribution periods from different countries can usually count towards your pension. Keep proof of every job.
- [ ] **Check fees and lock-ins** on private pension products before signing. Some are great, some are expensive and hard to leave.

MONTHS 7–9

Taxes to check in your country

Investment tax in Europe is national, and it varies a lot. Your job isn't to become an expert. It's to know which questions to ask.

The questions to answer

- [ ] **Capital gains:** are gains taxed when you sell? At what rate, and are there holding-period rules?
- [ ] **Dividends and interest:** how are they taxed, and can you reclaim or credit foreign withholding tax?
- [ ] **Allowances:** is there a tax-free amount each year, and do you need to claim it or file a form with your broker?
- [ ] **Accumulating funds:** does your country tax them yearly even if you don't sell?
- [ ] **Tax-advantaged accounts:** does your country have a special investment or savings account with tax benefits?
- [ ] **Wealth taxes:** does your country tax holdings above a certain value, not just income?
- [ ] **Reporting duties:** do you need to declare foreign accounts, foreign brokers or each sale on your return? Note the deadline.

> **A few examples of how different it gets**
>
> Germany taxes accumulating funds a little each year via the **Vorabpauschale** ("advance lump sum"). Ireland applies "deemed disposal" to many funds every eight years. France has the PEA and Sweden the ISK, both special investment accounts with their own rules. Same ETF, very different tax life.

Moving countries

- [ ] **Check exit rules before you leave.** Some countries can tax certain unrealised gains when you move away.
- [ ] **Check what happens to tax-advantaged accounts and pensions** when you're no longer resident.
- [ ] **Update your tax residency with your broker** and bank when you move.

Double taxation treaties

- [ ] **Find the treaty** between your residence country and any country where you earn income. Treaties decide who taxes what, so the same income isn't fully taxed twice.
- [ ] **Keep records:** purchase dates and prices, tax statements, foreign tax paid. Ten minutes of filing now saves an afternoon of digging later.

Do you need to act? Yes, once: get the answers for your country this year, ideally from the tax authority's own guidance or a tax adviser. Then it's mostly maintenance.

MONTHS 10–12

Stay freddo, then review

Most investing damage is done by the investor. Here's how to stay out of your own way.

Behaviour

- [ ] **Don't check daily.** Daily prices are mostly noise. Monthly is plenty; quarterly is better.
- [ ] **Turn off price notifications** in your broker app. You'll miss nothing important.
- [ ] **Expect falls.** Markets drop regularly, sometimes a lot. A fall isn't a signal to sell; it's the price of long-term returns.
- [ ] **Ignore hot takes.** Headlines and finfluencers are paid in attention. Your plan doesn't need their input.
- [ ] **Keep a "before I sell" rule:** wait 48 hours and reread your two-line plan first.

> ❄️ **Cold take**
>
> "Everyone's buying X, I'm missing out." Maybe. But a broad fund already owns a little of most big companies. You're rarely missing as much as it feels.

Rebalancing

- [ ] **Once a year, check your mix** (for example shares vs cash or bonds) against your target.
- [ ] **Rebalance with new money first.** Directing contributions to the underweight part avoids selling, and often avoids tax.

Year-end review checklist

- [ ] Emergency fund still covers your essentials?
- [ ] Any new expensive debt?
- [ ] Savings rate this year vs last year
- [ ] Savings plan ran every month?
- [ ] Raise the monthly amount for next year?
- [ ] Allocation within your target range?
- [ ] All fees still reasonable?
- [ ] Annual tax statement downloaded and filed
- [ ] Tax allowances used, forms up to date?
- [ ] Moving next year? Check the rules early

KEEP THIS HANDY

Glossary: 10 terms, plain English

UCITS
EU framework for funds sold to the public, with rules on diversification, safekeeping and disclosure.

ETF
Exchange-traded fund. A fund you can buy and sell on a stock exchange like a share.

KID
Key Information Document. A short, standard summary of a product's costs and risks, required under PRIIPs.

PRIIPs
EU rules on packaged retail investment products. The reason most US-listed ETFs aren't sold to EU retail investors.

TER
Total Expense Ratio. A fund's yearly running costs as a percentage of your investment.

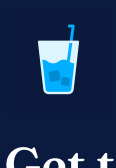
Accumulating / distributing
Reinvests dividends inside the fund / pays them out to you.

Domicile
The country where a fund is legally based. Affects fund-level withholding tax and regulation.

Withholding tax
Tax kept back at source on dividends or interest, before the money reaches you or the fund.

Tax residency
The country (or countries) with the right to tax your worldwide income, based on its own tests.

Rebalancing
Bringing your mix of investments back to its target, usually once a year.



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European markets, deals and sensible investing, in about five minutes. What happened, what it means for your portfolio, and whether you need to do anything (usually not).

Stay freddo,
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